

Tentative Rulings and Resolution Review Hearings
June 15, 2026
Department 63

This Court does not follow the procedures described in Rules of Court, Rule 3.1308(a). Tentative rulings are available online no less than 12 hours in advance of the time set for hearing. Tentative rulings may be found on the court’s website (www.shasta.courts.ca.gov) and are available by clicking on the “Tentative Rulings” link under the “Online Services” tab. A QR code that links to the tentative rulings is posted outside the courtroom. A party is not required to give notice to the Court or other parties of intent to appear to present argument.

Telephonic appearances through CourtCall (888-882-6878; courtcall.com) are generally permitted on the Law & Motion and Resolution Review calendars and can be made without leave of Court.

8:30 a.m. – Law & Motion

AXIOM REPERTORY THEATRE VS. CHARITY ONE INSURANCE AGENCY, ET AL.

CASE NUMBER: 26CV-0209907

Tentative Ruling on Charity One Demurrer: Defendant Charity One Insurance Agency (“Charity One”), Caroline O’Connor, Sarai Zamora, Claudine Ford, and Lisa Delgado demur to Plaintiff Axiom Repertory Theatre’s (“Axiom”) First Amended Complaint. Axiom opposes the demurrer.

The FAC generally alleges that Axiom, a nonprofit theater company in Redding, suffered losses due to an October 30, 2024, fire. Axiom alleges its insurance broker Charity One Insurance Agency, several of Charity One’s employees, and Great American Insurance Company are liable for damages on claims including negligence, breach of contract, fraud, and other causes of action relating to Axiom’s insurance coverage.

The Complaint includes fifteen causes of action. This demurrer concerns the following nine: First (Professional Negligence against O’Connor and Zamora), Second (Heightened Duty against Charity One, O’Connor and Zamora), Third (Declaratory Relief), Fifth (Breach of Contract), Sixth (Breach of Implied Covenant of Good Faith and Fair Dealing), Seventh (Negligent Misrepresentation and constructive Fraud against Charity One, O’Connor, Zamora, and Delgado), Eighth (Intentional Misrepresentation and Constructive Fraud); Eleventh (Aiding and Abetting), and Thirteenth (Restitution and Unjust Enrichment).

Meet and Confer: CCP § 430.41 requires the demurring party to “meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” The Declaration of Khodadad Sharif establishes compliance with this requirement.

Merits: A demurrer should be sustained if the complaint fails to “state facts sufficient to constitute a valid cause of action.” CCP § 430.10(e). A demurrer can be used to challenge defects that appear on the face of the complaint or from matters that may be subject to judicial notice. *Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318. The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” *Hood v. Hacienda La Puente Unified School District* (1998) 65 Cal. App. 4th 435, 438. No matter how unlikely, a plaintiff’s allegations must be accepted as true for the purpose of ruling on a demurrer. *Del. E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604. A plaintiff must plead ultimate facts that acquaint the defendant with the nature, source and extent of plaintiff’s causes of action.

Doe v. City of Los Angeles (2007) 42 Cal. 4th 542, 550.

First COA – Professional Negligence. Charity One argues that the individually named Defendants O'Connor and Zamora cannot be held individually liable as agents of the principal. "When supported by appropriate facts, an insurer's mishandling of a claim ... may also be actionable under one or more of the following alternative tort theories: [¶] ... [¶] ... Negligent Misrepresentation." (Croskey et al., Cal. Practice Guide: Insurance Litigation (The Rutter Group 2013) ¶ 11:9, p. 11-3 (rev. # 1, 2011) (Croskey).) And the treatise goes on to state, in point-blank terms: "The insurer's agents and employees may have committed some independent tort in the course of handling the third party claims; e.g., misrepresentation or deceit, invasion of privacy, intentional infliction of emotional distress, etc. In such event, they can be held personally liable, even though not parties to the insurance contract. *Bock v. Hansen* (2014) 225 Cal.App.4th 215, 228.

The FAC alleges that O'Connor and Zamora personally failed to timely process the renewal application, failed to bind coverage before the lapse date, failed to update coverage per Axiom's specific requests, and personally participated in the solicitation of no-loss letters with knowledge of the fire loss. These are allegations of personal tortious conduct, not vicarious liability for Charity One's contractual obligations. The demurrer as to O'Connor and Zamora on this cause of action is **OVERRULED**.

Second COA – Heightened Duty. Charity One argues that there is no heightened duty or presumption of expertise for O'Connor and Zamora. "[A]s a general proposition, an insurance agent does not have a duty to volunteer to an insured that the latter should procure additional or different insurance coverage. ... The rule changes, however, when--but only when--one of the following three things happens: (a) the agent misrepresents the nature, extent or scope of the coverage being offered or provided (as in *Free, Desai* and *Nacsa*), (b) there is a request or inquiry by the insured for a particular type or extent of coverage (as in *Westrick*), or (c) the agent assumes an additional duty by either express agreement or by "holding himself out" as having expertise in a given field of insurance being sought by the insured (as in *Kurtz*). *Fitzpatrick v. Hayes* (1997) 57 Cal.App.4th 916, 927.

All three *Fitzpatrick* exceptions are pled in the FAC: 1) Charity One holds itself out as an exclusive nonprofit insurance specialist with risk management expertise; 2) Axiom's specific requests for additional coverage including liquor liability and updated property limits; and 3) Charity One's alleged misrepresentation of the scope of coverage by concealing underinsurance clauses. Whether the facts are sufficient to establish heightened duty is a fact-intensive inquiry that cannot be resolved as a matter of law on demurrer. The demurrer as to O'Connor and Zamora on this cause of action is **OVERRULED**.

Third COA – Declaratory Judgment. Charity One argues that this claim is not necessary or proper under CCP 1060, as it brings no new issues that are not already to be decided by the Court. Axiom is entitled to plead legal theories in the alternative without rendering the pleading defective. An election cannot be forced by demurrer. *Steiner v. Rowley* (1950) 35 Cal.2d 713, 718–19. A declaration here would determine the operative policy, the legal effect of Great American's rescission, its continuing obligations to adjust and pay remaining benefits, and the prospective duty to disclose material contract terms. *Haynes v. Farmers Ins. Exchange* (2004) 32 Cal.4th 1198. The cause of action is sufficiently pled. The demurrer as to the Third Cause of Action is **OVERRULED**.

Fifth COA – Breach of Contract. Charity One argues that the Complaint fails to plead any elements of this claim and that the allegations are uncertain and ambiguous. The elements of a cause of action for breach of an insurance contract are (1) the contract, (2) the insured's performance or excuse for nonperformance, (3) the insurer's breach, and (4) resulting damages. *Gharibian v. Wawanesa General Ins. Co.* (2025) 108 Cal.App.5th 730, 737.

The FAC alleges Axiom retained Charity One as its broker for years, that Charity One undertook to procure, renew, and maintain insurance coverage for Axiom, that Axiom submitted renewal materials through Charity One, that Charity One accepted and processed those materials, transmitted renewal offers and premium payment

links, and that Axiom paid premiums in reliance on Charity One's role in securing coverage. These allegations are sufficient at the pleading stage to allege a contractual relationship formed through conduct, course of dealing, and payment. Breach and damages are clearly alleged. The demurrer as to this cause of action is **OVERRULED**.

Sixth COA – Breach of Implied Covenant. Charity One argues that this cause of action is uncertain and fails to state sufficient facts, as it just restates the breach of contract claim. The elements of a cause of action for breach of the implied covenant of good faith and fair dealing are: (1) the insurer was obligated under the policy to the insured, (2) the implied duty of good faith and fair dealing arose, (3) the insurer unreasonably breached that duty, and (4) the breach caused damages. *Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136, 115; *Waters v. United Services Auto. Assn.* (1996) 41 Cal.App.4th 1063, 1079.

The special relationship supporting a tort claim for breach of the implied covenant in the insurance context exists between an insured and its insurer, not between an insured and its broker. *See Gruenberg v. Aetna Ins. Co.* (1973) 9 Cal.3d 566, 576 (the non-insurer defendants were not parties to the agreements for insurance; therefore, they are not, as such, subject to an implied duty of good faith and fair dealing). Charity One is not the insurer. Axiom's special relationship for purposes of bad faith is with Great American. The demurrer to this cause of action is **SUSTAINED** without leave to amend.

Seventh COA – Negligent Misrepresentation/Constructive Fraud. Charity One argues that this cause of action will not lie against O'Connor, Zamora, Ford, and Delgado because they cannot be personally liable in this litigation. Charity One also argues that Charity One owes no fiduciary duty to Plaintiff.

The FAC adequately pleads a fiduciary relationship. Under California Insurance Code section 1733, those who accept premium payments hold those funds in a fiduciary capacity. Charity One alleges it accepted premium payment from Axiom on October 31, 2024, for a policy it did not timely bind and at a time it allegedly knew of the fire loss. An insurance broker acts in a fiduciary capacity when receiving and holding premiums. *Mark Tanner Constr. v. Hub Internat. Ins. Servs.* (2014) 224 Cal.App.4th 574, 585. That is sufficient at the pleading stage to allege a fiduciary relationship from which constructive fraud may arise.

As to the liability of individual defendants O'Connor, Zamora, Ford, and Delgado, the FAC pleads their personal participation in the post-loss conduct and the no-loss letter scheme. Allegations of that personal participation, combined with the fiduciary relationship arising from the premium payment they facilitated, is sufficient to survive demurrer. The demurrer as to this cause of action is **OVERRULED**.

Eighth COA – Intentional Misrepresentation/Constructive Fraud. Charity One argues the FAC does not allege facts with the required specificity to state a fraud claim. Fraud must be pleaded with particularity. *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 63. Where fraud is alleged against a corporation or its employees, the plaintiff must allege the names of the persons who made the fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.

The FAC satisfies this standard. Paragraphs 69 through 113, under the section heading "Axiom's Fire and Charity One's Fraudulent Renewal Attempt," identify O'Connor and Zamora by name, allege specific dates and times of communications, describe the content of emails soliciting no-loss letters, and allege that these representations were made with actual knowledge of the October 30, 2024 fire loss. Fraud is alleged with the requisite specificity. The demurrer as to this cause of action is **OVERRULED**.

Eleventh COA – Aiding and Abetting. Charity One argues this cause of action is deficient for failing to allege knowledge of the actual wrongful act. Aiding and abetting requires that a defendant knowingly give substantial assistance to someone who performed wrongful conduct, with actual knowledge of the specific primary violation.

Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1148. General allegations of actual knowledge of a specific primary violation are sufficient. *Ibid.* The FAC alleges Ford and Delgado had actual knowledge of O'Connor and Zamora's fraudulent conduct and provided substantial assistance through ratification and approval of fraudulent communications. (FAC ¶¶ 262-264.) These general allegations of actual knowledge of the specific primary violation are sufficient to survive the demurrer. The demurrer as to this cause of action is **OVERRULED**.

Thirteenth COA – Restitution/Unjust Enrichment. (Unjust Enrichment is listed as the fourteenth on the caption page, but as the thirteenth in the body of the FAC.) Charity One argues that unjust enrichment is not a stand-alone cause of action, and there is no basis for restitution.

“Unjust enrichment is generally an inapplicable basis for restitution where the parties have an enforceable express contract; however, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason, or where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. Common law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is ‘quasi-contract. Thus, Sepanossian's “unjust enrichment” claim does not properly state a cause of action. Because Sepanossian does not dispute there were express form contracts in this case, he cannot assert a quasi-contract claim for restitution based on unjust enrichment. “Although a plaintiff may plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, that is not what occurred here. Instead, [Sepanossian’s] breach of contract claim pleaded the existence of ... enforceable agreement[s] and [his] unjust enrichment claim did not deny the existence or enforceability of [those] agreement[s]. [Sepanossian is] therefore precluded from asserting a quasi-contract claim under the theory of unjust enrichment.” *Sepanossian v. National Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, 207 (internal quotations and citations omitted).

Here, Plaintiff has plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, which gives rise to the quasi-contract claim under the theory of unjust enrichment. This is permissible as discussed in *Sepanossian*. The cause of action is adequately pled. The demurrer as to the Thirteenth Cause of Action is **OVERRULED**

Charity One’s Demurrer is sustained without leave to amend as to the sixth cause of action and is overruled as to all other contested causes of action. Charity One is directed to submit a new proposed order consistent with this ruling. Plaintiff will have 20 days’ leave to file a Second Amended Complaint from notice of entry of order.

AXIOM REPERTORY THEATRE VS. CHARITY ONE INSURANCE AGENCY, ET AL.

CASE NUMBER: 26CV-0209907

Tentative Ruling on Great American’s Demurrer: Defendant Great American Assurance Company (“Great American”) demurs to six of the twelve causes of action alleged against it by Plaintiff Axiom Repertory Theatre (“Axiom”) in the First Amended Complaint (“FAC”). Axiom opposes the demurrer.

The FAC generally alleges that Axiom, a nonprofit theater company in Redding, suffered losses due to an October 30, 2024 fire. Axiom alleges its insurance broker Charity One Insurance Agency, several of Charity One’s employees, and Great American Insurance Company are liable for damages on claims including negligence, breach of contract, fraud, and other causes of action relating to Axiom’s insurance coverage.

The Complaint includes fifteen causes of action, twelve of which are alleged against Great American. This demurrer concerns the following six: the Third Cause of Action (Declaratory Judgement), Fourth (Reformation), Fifth (Breach of Contract), Sixth (Breach of Implied Covenant of Good Faith and Fair Dealing), Ninth (Conspiracy), and Thirteenth (Unjust Enrichment). Great American demurs on the grounds that the Third, Fourth,

Fifth, Sixth, Ninth, and Thirteenth Causes of Action fail to state facts sufficient to constitute a cause of action pursuant to CCP 430.10(e); and on the grounds that the Fifth Cause of Action is uncertain, and it cannot be ascertained whether the alleged contract is written, oral, or implied by conduct pursuant to CCP 430.10(f) and (g). The Court will address each challenged cause of action in the order the parties presented their arguments in the briefing.

Meet and Confer: CCP § 430.41 requires the demurring party to “meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” The Declaration of Andrew Downs establishes compliance with this requirement.

Merits: A demurrer should be sustained if the complaint fails to “state facts sufficient to constitute a valid cause of action.” CCP § 430.10(e). A demurrer can be used to challenge defects that appear on the face of the complaint or from matters that may be subject to judicial notice. *Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318. The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” *Hood v. Hacienda La Puente Unified School District* (1998) 65 Cal. App. 4th 435, 438. No matter how unlikely, a plaintiff’s allegations must be accepted as true for the purpose of ruling on a demurrer. *Del. E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604. A plaintiff must plead ultimate facts that acquaint the defendant with the nature, source and extent of plaintiff’s causes of action. *Doe v. City of Los Angeles* (2007) 42 Cal. 4th 542, 550.

Fourth COA – Reformation. Civ. Code § 3399 provides: “When, through fraud or a mutual mistake of the parties, or a mistake of one party, which the other at the time knew or suspected, a written contract does not truly express the intention of the parties, it may be revised on the application of a party aggrieved, so as to express that intention, so far as it can be done without prejudice to rights acquired by third persons, in good faith and for value.”

“The allegations necessary to state a cause of action for reformation are ... as follows: “A complaint for the reformation of a contract should allege what the real agreement was, what the agreement as reduced to writing was, and where the writing fails to embody the real agreement. It is also necessary to aver facts showing how the mistake was made, whose mistake it was and what brought it about, so that mutuality may appear.” *Lane v. Davis* (1959) 172 Cal.App.2d 302, 309.

Great American argues that Axiom has only alleged an implied policy, and that relief cannot be had for an alleged unwritten policy. This cause of action alleges Plaintiff had an “actual insurance contract for the October 2023-October 2024 term” and an “implied insurance contract for the October 2024-October 2025 year term.” (FAC ¶ 183.) “The 2024 Contract is implied from Axiom’s application for an updated policy with higher limits than the 2023 Contract ...” (FAC ¶ 184.) “Due to mistake and/or the inequitable conduct of Defendants and their agents ... the insurance contract that governed Plaintiff’s coverage at the time of loss did not reflect the coverage limits that were intended by Plaintiff.” (FAC ¶ 187.)

As pled, Plaintiff has not alleged an actual agreement, reduced to writing, which fails to embody the real agreement. Instead, Plaintiff alleges that the agreement should have been reduced to writing, but was not. This is insufficient to state a claim for reformation. “Reformation is an equitable remedy the essential purpose of which is to ensure the contract, as reformed, reflects the parties’ mutual intention. [Citations.] “In reforming the written agreement, a court may ‘transpose[], reject[], or suppl[y]’ words [citation], but has “no power to make new contracts for the parties” [citation]. Rather, the court may only reform the writing to conform with the mutual understanding of the parties at the time they entered into it, if such an understanding exists. [Citation.]” *Komorsky v. Farmers Ins. Exchange* (2019) 33 Cal.App.5th 960, 974. To state a cause of action for reformation, a party must allege an agreement reduced to writing. As pled, the FAC seeks to reform an implied contract, one which was not reduced to writing. The demurrer as to the Fourth Cause of Action is **SUSTAINED** with leave to amend.

Fifth COA – Breach of Contract. The elements of a cause of action for breach of an insurance contract are (1) the contract, (2) the insured's performance or excuse for nonperformance, (3) the insurer's breach, and (4) resulting damages. *Gharibian v. Wawanesa General Ins. Co.* (2025) 108 Cal.App.5th 730, 737. Great American argues that Axiom's breach of contract claim is based on a defective reformation theory, and that it is uncertain because Axiom does not attach or allege all material terms of the alleged implied contract. Plaintiff's FAC adequately alleges each of the requirement elements. In contrast to reformation, breach of contract is an available cause of action for an implied contract.

"A contract may be written, oral or inferred from the parties' conduct as an "implied-in-fact" contract. ... An implied contract must be founded upon an ascertained agreement of the parties to perform it. ...Accordingly, an implied-in-fact contract "consists of obligations arising from a mutual agreement and intent to promise where the agreement and promise have not been expressed in words." *Siskiyou Hospital, Inc. v. County of Siskiyou* (2025) 109 Cal.App.5th 14, 52. The breach of contract cause of action is not dependent on the reformation theory. The cause of action is sufficiently pled. The demurrer as to the Fifth Cause of Action is **OVERRULED**.

Third COA – Declaratory Judgment. Great American argues that this claim is duplicative of Axiom's breach of contract claim, and that it is prospective only, while Axiom's grievances all concern the past. Axiom is entitled to plead legal theories in the alternative without rendering the pleading defective. An election cannot be forced by demurrer. *Steiner v. Rowley* (1950) 35 Cal.2d 713, 718–19. A declaration here would determine the operative policy, the legal effect of Great American's rescission, its continuing obligations to adjust and pay remaining benefits, and the prospective duty to disclose material contract terms. *Haynes v. Farmers Ins. Exchange* (2004) 32 Cal.4th 1198. The cause of action is sufficiently pled. The demurrer as to the Third Cause of Action is **OVERRULED**.

Sixth COA – Breach of Implied Covenant of Good Faith and Fair Dealing. The elements of a cause of action for breach of the implied covenant of good faith and fair dealing are: (1) the insurer was obligated under the policy to the insured, (2) the implied duty of good faith and fair dealing arose, (3) the insurer unreasonably breached that duty, and (4) the breach caused damages. *Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136, 115; *Waters v. United Services Auto. Assn.* (1996) 41 Cal.App.4th 1063, 1079.

Great American argues that this claim concerns alleged mishandling of a renewal application, and the implied covenant is based on contractual performance, not contractual formation. As discussed above, Plaintiff has properly alleged an implied contract. If Great American is found to be obligated under that contract to the insured, then the implied duty arose. Additionally, Plaintiff alleges Great American was obligated under the prior year's policy, and that the breach related to acts or omissions during renewal of that policy and prior to its expiration. The claim is adequately pled. The demurrer as to the Sixth Cause of Action is **OVERRULED**.

Thirteenth COA – Restitution/Unjust Enrichment (Unjust Enrichment is listed as the fourteenth on the caption page, but as the thirteenth in the body of the FAC.) Great American argues that this is not a stand-alone cause of action.

"Unjust enrichment is generally an inapplicable basis for restitution where the parties have an enforceable express contract; however, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason, or where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. Common law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is 'quasi-contract. Thus, Sepanossian's "unjust enrichment" claim does not properly state a cause of action. Because Sepanossian does not dispute there were express form contracts in this case, he cannot assert a quasi-contract claim for restitution based on unjust enrichment. "Although a plaintiff may plead inconsistent claims that allege both the existence of an enforceable

agreement and the absence of an enforceable agreement, that is not what occurred here. Instead, [Sepanossian's] breach of contract claim pleaded the existence of ... enforceable agreement[s] and [his] unjust enrichment claim did not deny the existence or enforceability of [those] agreement[s]. [Sepanossian is] therefore precluded from asserting a quasi-contract claim under the theory of unjust enrichment." *Sepanossian v. National Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, 207 (internal quotations and citations omitted).

Here, Plaintiff has plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, which gives rise to the quasi-contract claim under the theory of unjust enrichment. This is permissible as discussed in *Sepanossian*. The cause of action is adequately pled. The demurrer as to the Thirteenth Cause of Action is **OVERRULED**

Ninth COA – Conspiracy. Great American argues that this is not a stand-alone cause of action. "Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration. (*Wyatt v. Union Mortgage Co.* (1979) 24 Cal.3d 773, 784.) By participation in a civil conspiracy, a coconspirator effectively adopts as his or her own the torts of other coconspirators within the ambit of the conspiracy. (*Ibid.*) In this way, a coconspirator incurs tort liability co-equal with the immediate tortfeasors." *Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 510-511. "Conspiracy is not an independent tort; it cannot create a duty or abrogate an immunity. It allows tort recovery only against a party who already owes the duty and is not immune from liability based on applicable substantive tort law principles." *Id.* at 514. Plaintiff's ninth cause of action for conspiracy fails to state sufficient facts to constitute a cause of action, because it does not specify the underlying tort theory that is the basis for the claim. The demurrer as to the Ninth Cause of Action is **SUSTAINED** with leave to amend.

Great American's Demurrer is sustained with leave to amend as to the fourth and ninth causes of action, and is overruled as to the third, fifth, sixth, and thirteenth causes of action. Great American is directed to submit a new proposed order consistent with this ruling. Plaintiff will have 20 days' leave to file a Second Amended Complaint from notice of entry of order.

AXIOM REPERTORY THEATRE VS. CHARITY ONE INSURANCE AGENCY, ET AL.

CASE NUMBER: 26CV-0209907

Tentative Ruling on Motion to Strike: Defendant Great American Assurance Company ("Great American") moves pursuant to CCP 435 and 436 to strike paragraphs 164, 165, 208, 272, 273, and 274 (except the last sentence) from the First Amended Complaint. Plaintiff concedes with respect to paragraph 208 and opposes as to the rest.

Meet and Confer. "Before filing a motion to strike pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to the motion to strike for the purpose of determining if an agreement can be reached that resolves the objections to be raised in the motion to strike." CCP § 435.5(a). The Court finds that Defendant has satisfied the meet and confer requirement.

Request for Judicial Notice: Great American requests the Court take judicial notice of: 1) the records of the California Dept. of Insurance relating to Charity One Insurance Agency, attached as Exhibit 1; 2) That Charity One has held licenses issued by the Dept. of Insurance to act as an agent-broker since June 28, 2025, as shown by Exhibit 1. The request is denied as it is not clear that this document qualifies as an "official act of the legislative, executive, and judicial departments of the state," and is not capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy.

Merits. The Court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon

terms it deems proper:

- (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.
- (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.

CCP § 436

A motion to strike can be used to attack the entire pleading, or any part thereof, including single words or phrases. *Stearns Ranchos v. Atchison Topeka & Santa Fe Railway* (1981) 19 Cal. App. 3d 24. “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” CCP § 437(a).

Great American Moves to strike the following from the First Amended Complaint: 1) paragraphs 164, 165 on the grounds that Great American has no negligence duty of care; 2) paragraph 208 because “Brandt fees” are not a proper remedy for breach of contract; 3) paragraph 272-274 (except for last sentence) because Great American can’t be held liable for complying with the statutory mandate that it only issue policies through licensed brokers and agents, because it has no duty to investigate or verify the accuracy of representations made to it by Axiom or any other policy holder represented by Charity One.

Paragraphs 164 and 165: Great American moves to strike paragraphs 164 and 165 on the ground that insurers owe no direct negligence duty of care to their policyholders in connection with claim handling or underwriting.

Insurers and their adjusters generally owe no negligence duty of care to policyholders. *Sanchez v. Linsey Morden Claims Services, Inc.* (1999) 72 Cal.App.4th 249, 253-254; *Chateau Chamberay Homeowners Ass’n v. Associated International Ins. Co.* (2001) 90 Cal.App.4th 335, 351. The remedy for improper claim handling is a claim for breach of the implied covenant of good faith and fair dealing. *Id.*

Axiom argues that tort claims are available where the insurer's wrongful acts are independent of the contract, citing *Bock v. Hansen* (2014) 225 Cal.App.4th 215. *Bock* is distinguishable. *Bock* addressed a claim for negligent misrepresentation brought against an individual insurance adjuster, expressly distinguishing that claim from one for negligent adjusting. The allegations in paragraphs 164 and 165 concern Great American's conduct in its role as an insurer, specifically the investigation of the claim, the sending of a fraud accusation letter, and the denial of coverage. These are claim-handling functions governed by the implied covenant of good faith and fair dealing, not by a negligence duty of care.

To the extent Axiom wishes to pursue a negligent misrepresentation theory grounded in specific affirmative false statements independent of the claim-handling process, that claim is not what is pleaded in these paragraphs, and such a theory would need to be specifically alleged. The Motion to Strike is **GRANTED** with leave to amend as to Paragraphs 164 and 165.

Paragraph 208: Plaintiff concedes that the Brandt fee demand is misplaced in the breach of contract count. According to Plaintiff, the parties discussed this in meet and confer, and Plaintiff agreed to re-plead under the breach of implied covenant claim. The Motion to Strike is **GRANTED** as to Paragraph 208. Leave to amend is granted to include the Brandt fee demand under the breach of implied covenant claim.

Paragraphs 272-274: Great American moves to strike paragraphs 272 through 274 of the Twelfth Cause of Action, which allege that Great American engaged in unfair business practices by relying on intermediaries without adequate oversight, failing to maintain feedback mechanisms to identify defective policies placed by Charity One, and failing to address foreseeable underinsurance outcomes. Great American contends these allegations are irrelevant and improper because the conduct described is either legally mandated or prohibited by settled law. The Court finds that the FAC alleges systemic failures in oversight, knowing exposure of insureds to undisclosed

underinsurance risk, and the maintenance of a distribution system with known defects. Those allegations do not describe conduct that is legally mandated. They describe the manner in which Great American allegedly operated within the permitted structure. These paragraphs are not false, irrelevant, or improper. Court finds no basis to strike these paragraphs under CCP § 436. The Motion to Strike is **DENIED** as to Paragraphs 272-274.

Great American's Motion to Strike is granted in part and denied in part as detailed above. Great American is directed to submit a new proposed order consistent with this ruling. Plaintiff will have 20 days' leave to file a Second Amended Complaint from notice of entry of order.

BUTLER, III VS. SHOEMAKER
CASE NUMBER: 25CV-0208353

Tentative Ruling on Order to Show Cause Re: Sanctions: An Order to Show Cause Re: Sanctions issued on April 30, 2026 to Plaintiff John Butler III and counsel, Law Office of Natalie R. Ludwig for failure to timely serve Defendant as required by CRC 3.110(b). "The complaint must be served on all named defendants and proofs of service on those defendants must be filed with the court within 60 days after the filing of the complaint." CRC 3.110(b). The Complaint in this matter was filed on August 4, 2025. Plaintiff filed a declaration in anticipation of the May 4, 2026 Mandatory Settlement Conference. On June 11, 2026, Plaintiff filed an additional declaration, but the information in that declaration shows only minimal effort toward service of Defendant, and provides no information on dates that the efforts were made. **An appearance is necessary on today's calendar. Absent good cause being presented, the Court intends to impose monetary sanctions in the amount of \$250.**

CAPITAL ONE, N.A. VS. FORTNER
CASE NUMBER: 25CVG-00896

Tentative Ruling on Discovery Motions: Plaintiff Nicole D. Fortner filed the following motions on May 18, 2026:

- Motion for Order Deeming Matters Admitted
- Motion for Order Compelling Initial Responses to Form Interrogatories, Set One and Special Interrogatories, Set One
- Motion for Order Compelling Plaintiff's Initial Responses to Demand for Production of Documents, Set One
- Motion for Order Precluding Evidence at Trial for Failure to Provide Sufficient Bill of Particulars

Each motion has a June 15, 2026 hearing date and requests to reopen discovery. On June 10, 2026, Defendant tardily filed proofs of service as to all motions. Plaintiff filed oppositions to two of the motions on June 11, 2026. Based upon the late filings by both parties, the Court intends on continuing the hearing on the discovery motions and vacating the currently set trial. Defendant's four motions are continued to **Monday, July 13, 2026 at 8:30 am in Department 63**. The trial date of June 29, 2026, is **VACATED**. The matter will be calendared for trial resetting for **Monday, July 13, 2026, at 9:00 am in Department 63**.

HALE VS. PERRIN CONSTRUCTION, INC.
CASE NUMBER: 25CV-0208539

Tentative Ruling on Motion for Preliminary Approval of Class Action and PAGA Settlement: Plaintiff Shawn Hale brought this wage and hour class action and Private Attorneys General Act ("PAGA") matter against Defendant Perrin Construction, Inc. The First Amended Complaint was filed on March 10, 2026. The parties have settled the matter for a total of \$578,000 and seek preliminary approval by the Court.

The law favors the settlement of lawsuits, particularly in complex litigation, where they save time and resources. *Neary v. Regents of the University of California* (1992) 3 Cal. 4th 273, 277-281 (superseded by statute on other

grounds). However, courts cannot automatically and instantly approve a proposed settlement or dismiss a class action suit, even if the representative plaintiff and defendant have agreed on the terms of such settlement or dismissal. In a class action, the trial court has a duty to adequately protect the members of the class. *Bingham v. Obledo* (1983) 147 Cal. App. 3d 401, 406. Courts have long recognized that a class action may deprive an absent class member of the opportunity to independently press their claim, preclude a defendant from defending each individual claim to its fullest, and even deprive a litigant of a constitutional right. As such, a settlement or compromise of an entire class action, or a cause of action in a class action, or as to a party, requires the approval of the court after hearing. CRC 3.769(a). This takes two steps: (1) a preliminary review by the trial court, and (2) a final review after notice has been distributed to the class members.

The fundamental question for a preliminary review is whether the settlement is fair, adequate and reasonable. The purpose of this requirement is the protection of those class members, including the named plaintiffs, whose rights may not have been given due regard by the negotiating parties. *Dunk v. Ford Motor Co.* (1996) 48 Cal. App. 4th 1794, 1801. The trial court has broad discretion to determine whether the settlement is fair. It should consider relevant factors, such as: (1) the strength of plaintiff's case; (2) the risk, expense, complexity and likely duration of further litigation; (3) the risk of maintaining class action status through trial; (4) the amount offered in settlement; (5) the extent of discovery completed and the stage of the proceedings; (6) the experience and views of counsel; (7) the presence of a governmental participant; and (8) the reaction of the class members to the proposed settlement. The list of factors is not exhaustive and should be tailored to each case. *Id.*

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small. *Wershba v. Apple Computer, Inc.* (2001) 91 Cal. App. 4th 224, 225 (disapproved on other grounds by *Hernandez v. Restoration Hardware* (2018) 4 Cal. 5th 260).

Class Certification and Approval of Class Representative. A class action may be maintained "when the question is one of common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court." CCP § 382. "The 'community of interest' requirement embodies three factors: (1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class." *Gattuso v. Harte-Hanks Shoppers, Inc.* (2007) 42 Cal. 4th 554, 575. The Class consists of persons employed by Defendant in California and classified as an hourly, non-exempt employee who worked for Defendant during the Class Period. The Class Period is August 26, 2021 through March 15, 2026. The PAGA period is August 26, 2024 through March 15, 2026.

Here, there appears to be a community of interest. There are common questions of law and fact because the proposed class members all worked for the same employer and were subject to the same employment practices and policies and same wage and hour laws. The class was readily identified through employment records and stands currently at approximately 125 individuals.

The class members have a representative who appears to be similarly situated as former employee of Defendant during the class period and within the class member designation. Counsel has provided evidence that there are no conflicts and Plaintiff's claims are typical of the class. The Court certifies the class for the purpose of settlement and confirms Shawn Hale as the class representative.

Approval of Class Counsel. Plaintiff's counsel has demonstrated their experience and familiarity with class action cases, including employment and wage-and-hour disputes. Plaintiff's counsel has provided evidence that the firm is well versed in class actions, particularly of this nature, and has the competence to be appointed as Class Counsel. The Court appoints Joseph Lavi, Vincent C. Granberry, and Margaux Gundzik as Class Counsel. Monique N.

Toby is not listed as Class Counsel in the proposed Order. If this was an oversight, Plaintiff should raise the issue at the hearing and the Court can modify the Order to also appoint Monique N. Toby as Class Counsel.

Approval of Settlement Administrator. Phoenix Class Action Administration is proposed as the settlement administrator. While no evidence was provided in this regard, the Court is familiar with this settlement administrator and confirms appointment.

Fairness of Settlement and Plan of Allocation. Preliminary approval of a class action settlement constitutes a conditional finding that the settlement appears to be in the range of acceptable settlements. The Court has broad discretion to determine whether the settlement is fair. *Dunk v. Ford Motor Company, supra*, 48 Cal. App. 4th at 1801. As noted above, factors relevant to the court's determination include, but are not limited to, the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, and the experience and views of counsel. *Id.* There is a presumption of fairness where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; and (3) counsel is experienced in similar litigation. *Id.* at 1802.

The settlement here was the result of arm's-length bargaining and mediation with an experienced mediator. Plaintiff's counsel declared that the parties have exchanged extensive discovery and expert review of timekeeping records and other records of Defendant's allowed both parties to adequately analyze the claims. The Declaration of Monique N. Toby provides analysis of each claim that included the maximum exposure, discounts applied, and the realistic exposure. The class settlement is 30.1% of the realistic recovery. Settling avoids the added costs of litigation to certify the class and to try the matter. It also avoids the possibility that putative class members will have no recovery at all. The Court finds the settlement of \$578,000.00 to be fair, adequate, and reasonable.

Within the settlement, various fees and costs are apportioned prior to the net settlement amount, which is distributed to class members. The overall proposed breakdown of the settlement is as follows:

Total Settlement Amount	\$578,000.00
Proposed Attorneys' Fees (up to 33 1/3%)	-\$192,666.67
Litigation Costs and Expenses (up to)	-\$20,000.00
Settlement Administration Costs (up to)	-\$7,000.00
Proposed Class Representative Enhancement	-\$5,000.00
PAGA Claim Settlement Allocation	\$50,000.00
Payment to Labor and Workforce Development Agency (LWDA) (65%)	(-\$32,500.00)
Payment to Class Members (25%)	(\$17,500.00)
Net Settlement to be Disbursed to Class Members and Aggrieved Employees	\$320,833.33

Attorneys' Fees and Costs: Counsel seeks up to 33 1/3% in attorneys' fees and up to \$20,000.00 in litigation costs. Counsel has provided evidence of their expertise in the area, the risk of taking the case given that no payment is provided until settlement, and efforts put forth to prosecute the case. The Court will not approve the amount of attorneys' fees until the final approval hearing. The court cannot award attorneys' fees without reviewing information about counsel's hourly rate and the time spent on the case. This is the law even if the parties have agreed to the fees. *Robbins v. Alibrandi* (2005) 127 Cal. App. 4th 438, 450-451. At the time of the final approval hearing, the Court will review the evidence provided by Class Counsel. In addition to the hourly rate and hours spent on the case, Class Counsel should provide admissible evidence supporting the hourly fee requested including, if applicable, whether Class Counsel charges fee-paying clients the same rates. The Court will likewise not approve final costs until the final hearing as that is when Counsel can provide evidence of the specific costs incurred as part of this litigation.

Enhancement Award: The settlement provides for an enhancement award of \$5,000.00 to the named Plaintiff Shawn Hale as the Class Representative. The Court will not approve the amount of the Plaintiff's enhancement award until the final approval hearing. With the final approval motion, Plaintiff should provide admissible evidence to support the request, e.g. the number of hours of service provided, the nature of the work performed, the risks Plaintiff faced in prosecuting this lawsuit, including any actual retaliation, and/or other evidence demonstrating the need for an incentive payment. See *Clark v. American Residential Services, LLC* (2009) 175 Cal. App. 4th 785, 804-807. Plaintiff should also provide information regarding how the proposed service award relates to Plaintiff's anticipated individual settlement award and the average expected individual settlement awards for class members.

Settlement Administration Costs: Settlement administration costs have been requested in an amount up to \$7,000.00. The Court will not approve the amount of the costs awarded to the settlement administrator until the final approval hearing. An invoice from Phoenix showing the actual costs incurred will need to be filed for the final approval hearing. If there is a possibility that settlement administration costs may be higher than \$7,000, the dollar amount attributed this needs to be increased in the Class Notice. It is Plaintiff's obligation to raise this issue at the hearing should there be a possibility of more than \$7,000 in settlement administration costs.

PAGA: Under the Private Attorney General Act, private parties can assert claims for penalties that otherwise can be recovered only by the Labor and Workforce Development Agency ("LWDA"). Labor Code 2699(a). See also *Dunlap v. Superior Court* (2006) 142 Cal. App. 4th 330, 336. An employee who, through the PAGA, asserts a claim for civil penalties on behalf of the LWDA is acting as an agent of the LWDA. This is evident from the requirement that before initiating a PAGA claim, an employee must provide notice to the LWDA per Labor Code 2699.3(a), and the requirement that that 65% of any recovered civil penalties must be distributed to the LWDA, Labor Code 2699(i). In settling the LWDA's claims, Class Counsel are settling and releasing claims for penalties that belong to the People of the State of California acting through the LWDA. A settlement of LWDA claims should, therefore, provide a reasonable benefit to the state for the settlement of the released claims. The reasonable benefit may be based on the potential value of the recoverable civil penalties discounted by the risk and expense of litigation. In *Nordstrom Com' Cases* (2010) 186 Cal. App. 4th 576, 589, the Court of Appeal held that the Court can approve a settlement even when no money is allocated to the PAGA claims. The Declaration of Monique N. Toby provides evidence that the LWDA was notified of the settlement prior to the motion being filed and how the PAGA portion of the settlement was determined. The Court notes that no objection was received from the LWDA. The Court finds that the \$50,000 PAGA portion of the settlement is reasonable and confers a substantial benefit on both the State of California and aggrieved employees.

Notice and Notice Procedure. Plaintiff requests approval of Class Notice attached as Exhibit A to Exhibit 1 contained in the Declaration of Monique N. Toby. If a class notice is to be effective, "members of the class must receive the best notice practicable under the circumstances, including individual notice to all members who can be identified through reasonable effort." *Home Sav. & Loan Ass'n v. Sup. Ct.* (1975) 42 Cal. App. 3d 1006, 1012, citing Fed. R. Civ. P. 23(b)(2). The standard in California is whether the notice "has a reasonable chance of reaching a substantial percentage of class members." *Wershba v. Apple Computer* (2001) 91 Cal. App. 4th 224, 251. The Court notes the following issues with the Class Notice that will need to be corrected prior to mailing:

- Page 1, opening paragraph – Shawn Hale should be listed by name.
- Page 2, bottom box – add that a participating class member can also object to litigation and settlement administration costs.
- Page 3, top box – the only method to appear remotely is via CourtCall. All other appearances must be in person.
- Page 8, Section 6 – social security number should not be required.

- Page 8, Section 7 – documents are not viewable on the court website so “or the Court’s website.” should be deleted.

Following the changes noted above, the Class Notice is approved for mailing in the manner described in the Settlement Agreement. The deadlines listed in the proposed Order are approved with the exception of the deadline for class members to postmark requests for exclusions, written objections, and workweek/pay period challenges which shall be 60 days instead of the proposed 45 days.

The Motion for Preliminary Approval is **GRANTED** as outlined above. Based on the timeline, it appears that a Final Approval Hearing on **Monday, November 23 2026 at 8:30 a.m. in Department 63** would provide sufficient time. Absent a request for a different date, the Court will calendar the Final Approval Hearing as noted. Plaintiff submitted a proposed Order that will be modified to reflect the Court’s ruling.

HAM, ET AL. VS. FCA US, LLC, ET AL.

CASE NUMBER: 24CV-0206529

Tentative Ruling on Motion for Summary Judgment or Adjudication: Defendant FCA US, LLC moves for summary judgment, or in the alternative, summary adjudication. On January 26, 2026, Plaintiffs Taryn and Ryan Ham sought a continuance based on the need for additional discovery, which was granted. The parties selected June 15, 2026, as the new hearing date based on a deposition that was to occur on April 27, 2026. On January 26, 2026, the Court included in its tentative ruling that the Court expected that an Amended Opposition and Amended Reply would be filed. Neither have been filed. **An appearance by both parties is necessary on today’s calendar to discuss the status of the motion.**

JPMORGAN CHASE BANK, N.A. VS. RENSHAW

CASE NUMBER: 25CVG-02325

Tentative Ruling on Motion to Vacate Dismissal and Enter Judgment Under Terms of Stipulated Settlement: Plaintiff JPMorgan Chase Bank, N.A. seeks to vacate the dismissal entered on January 13, 2026 and enforce the Stipulation Agreement filed on January 5, 2026. Despite being properly noticed, Defendant Derek Renshaw did not file an Opposition.

Request for Judicial Notice. Plaintiff requests the Court take judicial notice of the Stipulation Agreement filed in this matter on January 5, 2026. The request is granted pursuant to Evid. Code §§ 452(d) and 453.

Merits. CCP § 664.6 provides the Court with authority, upon motion, to enter judgment pursuant to the terms of a settlement agreement entered into in writing. If requested by the parties, the Court also retains jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement. *Id.*

The Stipulation Agreement filed with the Court on January 5, 2026 was executed by both parties. The terms of the agreement are straightforward. The parties stipulated to a judgment of \$5,695.43 which is the principal amount. No costs were part of the agreement. The agreement calls for a payment of \$470.43 on or before December 3, 2025, followed by minimum monthly payments of \$475.00 on or before the fifteenth stating January 15, 2026. The parties also agreed that following the dismissal, Plaintiff may reopen the case to enter judgment in the event of Defendant’s failure to comply with the terms of payment described in the agreement.

The declaration of attorney Anthony DiPiero establishes that Defendant has paid a total of \$1,420.43, which appears to be the payments due in December, January, and February. Defendant has not made a payment since February 15, 2026. Plaintiff has sufficiently shown that Defendant breached the terms of the agreement by failing to make payments as owed. Plaintiff requests entry of judgment in the amount of \$4,275.00 which consists of the remaining principal.

The Motion is **GRANTED**. The dismissal is set aside and Judgment for the Plaintiff will be entered in the amount of \$4,275.00. Plaintiff provided a proposed Order and proposed Judgment, both of which will be modified to reflect the Court's ruling.

UMPQUA BANK VS. SABET, ET AL.

CASE NUMBER: 24CV-0205194

Tentative Ruling on Motion for Summary Adjudication: Plaintiff Umpqua Bank moves for summary adjudication on the First, Third, Fourth, and Sixth Causes of Action against Defendants Farzad Sabet, an individual, Marikit Del Rosario-Sabet, an individual, and Farzad Sabet and Marikit Del Rosario-Sabet, Trustees of the Sabet 2012 Trust (Sabet Defendants) as alleged in the Complaint filed June 3, 2024. The Sabet Defendants oppose the motion. All other remaining named Defendants have either been dismissed or had default entered.

Evidentiary Objections. Plaintiff makes several objections to the declaration executed by Mr. and Mrs. Sabet. The Court rules as follows:

1. Overruled
2. Overruled
3. Overruled
4. Overruled
5. Sustained as hearsay and lack of personal knowledge
6. Overruled
7. Overruled
8. Overruled
9. Sustained as hearsay and lack of personal knowledge
10. Overruled
11. Overruled
12. Overruled
13. Overruled

Merits. A motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law. CCP § 437c(c).

(1) A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.

(2) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. A party shall not move for summary judgment based on issues asserted in a prior motion for summary adjudication and denied by the court unless that party establishes, to the satisfaction of the court, newly discovered facts or circumstances or a change of law supporting the issues reasserted in the summary judgment motion.

CCP § 437c(f)

A plaintiff has met his burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff has met that burden, the burden shifts to the defendant to show that a triable issue of one or more material facts exists

as to the cause of action or a defense thereto. CCP § 437c(p)(1). Plaintiff moves for summary adjudication on four of the five causes of action alleged against the Sabet Defendants.

First Cause of Action – Breach of Loan Agreement. To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff’s performance of the contract or excuse for nonperformance, (3) the defendant’s breach, and (4) the resulting damage to the plaintiff.” *Richman v. Hartley* (2014) 224 Cal. App. 4th 1182, 1186. Plaintiffs have submitted evidence that the Sabet Defendants entered into a contract with Plaintiff in which Plaintiff would provide money that would be paid back, that payments have not been made since April 15, 2024 (which is a breach of the contract), and that as a result of the breach, Plaintiff was damaged. Based on the evidence before the Court, Plaintiff has fulfilled under the agreement and the Sabet Defendants have breached. Each of the essential elements have been proven by Plaintiff through both the loan documents and verified discovery responses made by the Sabet Defendants. The burden shifts to Defendants to show that a triable issue of material fact exists. While the Sabet Defendants argue a failure to mitigate and failure to make attempts to collect from other borrowers or guarantors, this does not absolve the Sabet Defendants of the obligation to pay under the Loan Agreement. There is no triable issue of material fact as to the First Cause of Action.

Third Cause of Action – Money Lent. The elements of a Common Count for money lent are that the defendant is indebted in a certain sum for money loaned by plaintiff and the defendant has not repaid the money lent. *Pleasant vs. Samuels* (1896) 114 Cal. 34. The facts listed above are sufficient to constitute this cause of action, and the Sabet Defendants have failed to raise a triable issue of material fact.

Fourth Cause of Action – Account Stated. An account stated is ‘an agreement, based on prior transactions between the parties, that the items of an account are true and that the balance struck is due and owing. *Professional Collection Consultants v. Lauron* (2017) 8 Cal. App. 5th 958, 968; *Maggio, Inc. v. Neal, supra*, 196 Cal. App. 3d 745, 753. When an account stated is assented to, either expressly or impliedly, it becomes a new contract. Accordingly, an action on an account stated is not based on the parties’ original transactions, but on the new contract under which the parties have agreed to the balance due. *Professional Collection Consultants v. Lujan* (2018) 23 Cal. App. 5th 685. The elements are: 1) previous transactions between the parties establishing the relationship of debtor and creditor; 2) an agreement between the parties, express or implied, on the amount due from the debtor to the creditor; 3) a promise by the debtor, express or implied, to pay the amount due. *Zinn v. Fred R. Bright Co.* (1969) 271 Cal. App. 2d 597, 600. When a statement is rendered to a debtor and no reply is made in a reasonable time, the law implies an agreement that the account is correct as rendered. *Maggio, Inc. v. Neal, supra*, 196 Cal. App. 3d 745, 752. Plaintiff has not articulated this cause of action in a manner that would allow for summary adjudication. The Separate Statement does not include all necessary elements. Therefore, Plaintiff has not met its burden on the Fourth Cause of Action.

Sixth Cause of Action – Conversion. Plaintiff seeks recovery under a theory of conversion, which does not apply to this situation as discussed by the California Supreme Court.

Conversion is an “ancient theory of recovery” with roots in the common law action of trover. (Note, *The Conversion of Intangible Property: Bursting the Ancient Trover Bottle with New Wine* (1991) 1991 B.Y.U. L.Rev. 1681, 1683; see *id.* at pp. 1683–1685 [tracing early development of conversion].) “This action originated at an early date as a remedy against the finder of lost goods who refused to return them to the owner but instead ‘converted’ them to his own use.” (Rest.2d Torts, § 222A, com. a., p. 431.) Over time, the action was extended to cases involving “dispossession, or ... withholding possession by others than finders.” (*Id.* at p. 432.) Today, the tort of conversion is understood more generally as “the wrongful exercise of dominion over personal property of another.” (5 Witkin, Summary of Cal. Law (11th ed. 2017) Torts, § 810, p. 1115; see, e.g., *Steele v. Marsicano* (1894) 102 Cal. 666, 669 [36 P. 920].)

As it has developed in California, the tort comprises three elements: “(a) plaintiff’s ownership or right to possession of personal property, (b) defendant’s disposition of property in a manner inconsistent with plaintiff’s property rights, and (c) resulting damages.” (5 Witkin, *supra*, Torts, § 810, p. 1115; *Welco Electronics, Inc. v. Mora* (2014) 223 Cal.App.4th 202, 208 [166 Cal. Rptr. 3d 877].) Notably absent from this formula is any element of wrongful intent or motive; in California, conversion is a “strict liability tort.” (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 144 [271 Cal. Rptr. 146, 793 P.2d 479] (*Moore*); *id.* at p. 144, fn. 38 [““conversion rests neither in the knowledge nor the intent of the defendant””]; accord, *Poggi v. Scott* (1914) 167 Cal. 372, 375 [139 P. 815] (*Poggi*) [“neither good nor bad faith, neither care nor negligence, neither knowledge nor ignorance, are of the gist of the action. ‘... [T]he tort consists in the breach of what may be called an absolute duty’”].)

A successful plaintiff in a conversion action is entitled to recover “[t]he value of the property at the time of the conversion, with the interest from that time, or, an amount sufficient to indemnify the party injured for the loss which is the natural, reasonable and proximate result of the wrongful act complained of and which a proper degree of prudence on his part would not have averted” plus “fair compensation for the time and money properly expended in pursuit of the property.” (Civ. Code, § 3336; see also 5 Witkin, Summary of Cal. Law, *supra*, Torts, § 1906, p. 1357.) Punitive damages are recoverable upon a showing of malice, fraud, or oppression. (Civ. Code, § 3294, subd. (a); accord, *Haigler v. Donnelly* (1941) 18 Cal.2d 674, 681 [117 P.2d 331] (*Haigler*); *Krusi v. Bear, Stearns & Co.* (1983) 144 Cal.App.3d 664 [192 Cal. Rptr. 793].) And the Courts of Appeal have held that emotional distress damages are also recoverable by the victim of conversion in appropriate circumstances. (*Spates v. Dameron Hospital Assn.* (2003) 114 Cal.App.4th 208, 221 [7 Cal. Rptr. 3d 597]; *Gonzales v. Personal Storage, Inc.* (1997) 56 Cal.App.4th 464, 476 [65 Cal. Rptr. 2d 473].)

The particular question before us concerns the applicability of the conversion tort to a claim for money. Although the question was once the matter of some controversy, California law now holds that property subject to a conversion claim need not be tangible in form; intangible property interests, too, can be converted. (*Payne v. Elliot* (1880) 54 Cal. 339, 342 [recognizing conversion claim related to ownership interests and monetary value represented by stock shares, irrespective of the conversion of tangible stock certificates].) But the law has been careful to distinguish proper claims for the conversion of money from other types of monetary claims more appropriately dealt with under other theories of recovery. Thus, although our law has dispensed with the old requirement that “each coin or bill be earmarked,” it remains the case that “money cannot be the subject of an action for conversion unless a specific sum capable of identification is involved.” (*Haigler, supra*, 18 Cal.2d at p. 681; see *PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 395 [58 Cal. Rptr. 3d 516] (*PCO*).) “[W]here the money or fund is not identified as a specific thing the action is to be considered as one upon contract or for debt”—or perhaps upon some other appropriate theory—but “not for conversion.” (*Baxter v. King* (1927) 81 Cal.App. 192, 194 [253 P. 172] (*Baxter*); see *Vu v. California Commerce Club, Inc.* (1997) 58 Cal.App.4th 229, 231, 235 [68 Cal. Rptr. 2d 31] [rejecting conversion claim where the plaintiff could not identify specific sum but only approximate monetary losses]; *PCO*, at p. 397 [same].)

Equally important, the “specific thing” at issue (*Baxter, supra*, 81 Cal.App. at p. 194) must be a thing to which the plaintiff has a right of ownership or possession—a right with which the defendant has interfered by virtue of its own disposition of the property. This means that “[a] cause of action for conversion of money can be stated only where a defendant interferes with the

plaintiff's *possessory interest* in a specific, identifiable sum”; “the simple failure to pay money owed does not constitute conversion.” (*Kim v. Westmoore Partners, Inc.* (2011) 201 Cal.App.4th 267, 284 [133 Cal. Rptr. 3d 774].) Were it otherwise, the tort of conversion would swallow the significant category of contract claims that are based on the failure to satisfy “‘mere contractual right[s] of payment.’” (*Sanowicz v. Bacal* (2015) 234 Cal.App.4th 1027, 1041 [184 Cal. Rptr. 3d 517] (*Sanowicz*); see *Imperial Valley L. Co. v. Globe G. & M. Co.* (1921) 187 Cal. 352, 353–354 [202 P. 129].) Contractual provisions may, of course, determine whether the plaintiff has a possessory right to certain funds in the defendant's hands. (See, e.g., *Fischer v. Machado* (1996) 50 Cal.App.4th 1069, 1072–1074 [58 Cal. Rptr. 2d 213] (*Fischer*) [agency agreement established principal sellers' legal entitlement to converted commissions].) But to put the matter simply, a “plaintiff has no claim for conversion merely because the defendant has a bank account and owes the plaintiff money.” (3 Dobbs et al., *Law of Torts* (2d ed. 2011) § 711, p. 807.)

Voris v. Lampert (2019) 7 Cal. 5th 1141, 1150-1152.

The evidence presented by Plaintiff is a simple failure to pay money owed and does not constitute a cause of action for conversion. Plaintiff has not met its burden as to the Sixth Cause of Action.

Summary adjudication is **GRANTED** in favor of Plaintiff as to the First and Third Causes of Action. Summary adjudication is **DENIED** as to the Fourth and Sixth Causes of Action. The Sabet Defendants are not parties to the Second Cause of Action. Plaintiff did not seek summary adjudication as to the Fifth Cause of action, which names the Sabet Defendants.

While Plaintiff seeks a judgment that includes principal, interest, attorney fees and costs, a judgment will not issue because the Fourth, Fifth and Sixth Causes of Action remain against the Sabet Defendants. Additionally, the Court notes that under Costs and Expenses on page six in the Business Loan Agreement, Defendants are to pay “all reasonable out-of-pocket expenses incurred by the Lender” for enforcement of the agreement. However, Plaintiff has not filed a noticed motion for attorney fees and has not provided any evidence of attorney fees incurred other than a total dollar amount. A Motion for Attorney Fees will be needed in order for the Court to determine the reasonableness of any attorney fee request. A Memorandum of Costs has not been filed.

Plaintiff did not provide a proposed Order as required by Local Rule of Court 5.17(D). Plaintiff is to prepare an Order consistent with the Court’s Ruling. The matter will be on calendar on **Monday, July 27, 2026 at 9:00 a.m. in Department 63** for status of the case. Prior to the next review hearing, the Court expects that Plaintiff will have made a decision if it wishes to move forward on the Fourth, Fifth, and Sixth Causes of Action against the Sabet Defendants.

IN RE: VAZQUEZ

CASE NUMBER: 26CV-0210173

Proposed Tentative Ruling on Petition for Change of Name: Petitioner Brenda Vazquez Valvaneda seeks to change her name to Brenda Vazquez. All procedural requirements of CCP §§ 1275 et. seq. have been satisfied. The Petition is **GRANTED**. All future dates will be vacated and the file closed upon the processing of the Decree Changing Name.

9:00 a.m. – Review Hearings

ANDRADE, ET AL. VS. WELLER

CASE NUMBER: 25CV-0207894

This matter is on calendar for review regarding status of default judgment. Since the last hearing on May 11, 2026, Plaintiffs have dismissed the quiet title and declaratory relief actions as well as the Doe Defendants.

However, a default judgment has still not been obtained. The matter is continued to **Monday, August 3, 2026 at 9:00 a.m. in Department 63** for status of default judgment. If a default judgment is not on file by August 3, 2026, Plaintiffs are ordered to file a status statement no less than five court days in advance detailing when the default judgment will be obtained. **No appearance is necessary on today's calendar.**

BURROWS VS. GARRIGUS, ET AL.

CASE NUMBER: 24CV-0205757

This matter is on calendar for review regarding status of appraisal. At the last review hearing on April 20, 2026, counsel expressed difficulty with obtaining an appraisal and the Court directed counsel to continue working on it. An appraisal has not been filed. A status statement was filed in which counsel indicating continuing issues with obtaining an appraisal. The matter is continued to **Monday, September 28, 2026 at 9:00 a.m. in Department 63** for status of appraisal. If an appraisal has not been filed by that date, Plaintiffs are ordered to file a status statement no less than five court days in advance detailing the steps that have been taken to obtain the appraisal and the time estimate for obtaining the appraisal. **No appearance is necessary on today's calendar.**

CASHMAN, ET AL. VS. DEPTUCH, ET AL.

CASE NUMBER: 25CV-0207830

This matter is on calendar for trial setting. At the last hearing on April 27, 2026, the Court noted that the matter needed to be at issue by today's hearing. Despite having counsel who signed a stipulation on their behalf on January 26, 2026, a responsive pleading has still not been filed by Defendants James J. Deptuch and Amber L. Deptuch. The Court will issue an Order to Show Cause Re: Monetary Sanctions to Plaintiffs and counsel for failure to timely enter default as required by CRC 3.110. Hearing on the Order to Show Cause will be on **Monday, August 10, 2026 at 8:30 a.m. in Department 63**. The clerk is directed to issue the Order to Show Cause. The matter will also be on calendar on **Monday, August 10, 2026 at 9:00 a.m. in Department 63** for trial setting. **No appearance is necessary on today's calendar.**

CLIFTON VS. APPLEWOOD OPERATING COMPANY, LLC, ET AL.

CASE NUMBER: 25CV-0208495

This matter is on calendar for review regarding status of arbitration. Plaintiff filed a status statement informing the Court that the parties are working on discovery pre arbitration. The matter is continued to **Monday, October 19, 2026 at 9:00 am. in Department 63** for status of arbitration. The parties are ordered to file status statements no less than five court days prior to the hearing. **No appearance is necessary on today's calendar.**

DISCOVER BANK VS. MARCUZ

CASE NUMBER: 24CVG-01645

This matter is on calendar for review regarding status of judgment/dismissal. The Court notes that a CCP § 664.6 Stipulation and Order were returned by the clerk on June 9, 2026 due to being filed as one document. They must be separate documents. The matter is continued to **Monday, July 27, 2026 at 9:00 a.m. in Department 63** for status of CCP § 664.6 Dismissal. Plaintiff is ordered to resubmit in proper format. The hearing will be vacated if a dismissal is on file prior to the next court date. **No appearance is necessary on today's calendar.**

DUNNE, ET AL. VS. POLARIS INDUSTRIES, INC., ET AL.

CASE NUMBER: CVPO21-0198252

This matter is on calendar for confirmation of deposit and purchase of annuity. The Order to Deposit was filed on May 7, 2026. Plaintiffs have not filed the necessary documentation. The matter is continued to **Monday, July 20, 2026 at 9:00 a.m. in Department 63** for confirmation of deposit and purchase of annuity. If both are not on file, Plaintiffs are ordered to file a status statement explaining the delay no less than five court days prior to the hearing. **No appearance is necessary on today's calendar.**

FINANCIAL ASSISTANCE, INC. VS. SABET, ET AL.

CASE NUMBER: 24CV-0206674

This matter is on calendar for review regarding status of judgment/dismissal. Notice of Conditional Settlement was filed on December 10, 2025 informing the Court that the matter would be dismissed no later than February 21, 2028. The matter is continued to **Monday April 24, 2028 at 9:00 a.m. in Department 63** for status of dismissal. Should the matter not be dismissed by the April 24, 2028 review hearing, the Court intends to dismiss the matter per CRC 3.1385(c)(2) and any good cause for not doing so will need to be provided at or before the April 24, 2028 review hearing. Alternatively, the parties may submit a stipulation and order for dismissal with the Court retaining jurisdiction per CCP § 664.6. **No appearance is necessary on today's calendar.**

HAYES VS. HOME DEPOT U.S.A, INC.

CASE NUMBER: 25CV-0207972

This matter is on calendar for status of judgment/dismissal. Notice of Unconditional Settlement was filed on March 16, 2026. A Request for Dismissal should have been filed within 45 days. The matter is continued to **Monday, August 3, 2026 at 9:00 a.m. in Department 63** for status of dismissal. Should the matter not be dismissed by the August 3, 2026 review hearing, the Court intends to dismiss the matter per CRC 3.1385(b) and any good cause for not doing so will need to be provided at or before the August 3, 2026 review hearing. **No appearance is necessary on today's calendar.**

HOFFMAN VS. BRUCE

CASE NUMBER: 25CV-0208192

This matter is on calendar for review regarding status of default judgment. Plaintiff filed a status statement informing the Court that Plaintiff is working with Defendant's insurance company and that more time is needed. The matter is continued to **Monday, October 5, 2026 at 9:00 a.m. in Department 63** for status of the case. **No appearance is necessary on today's calendar.**

HAMS VS. VUE

CASE NUMBER: 25CV-0208187

This matter is on calendar for review regarding status of responsive pleading and potential trial setting. Nothing has been filed since the Order that issued on April 9, 2026 vacating the Mandatory Settlement Conference. The matter is continued to **Monday, August 17, 2026 at 9:00 a.m. in Department 63** for status of responsive pleading and trial setting. The Court expects that the matter will be either be at issue and ready to be set for trial or dismissed by the next hearing date. The parties are ordered to file status statements no less than five court days prior to the review hearing. **No appearance is necessary on today's calendar.**

JACKSON VS. COLLINS, ET AL.

CASE NUMBER: 24CV-0206492

This matter is on calendar for review regarding status of counsel and status of service. The Court notes that Plaintiff's counsel has noticed a Motion to be Relieved for July 27, 2026. The Court further notes that Defendant filed a status statement requesting a hearing date for an anticipated motion. Defendant may file motions without leave of Court. The matter is continued to **Monday, July 27, 2026 at 9:00 a.m. in Department 63** for status of counsel. **No appearance is necessary on today's calendar.**

JONES, ET AL. VS. VERCAMMEN

CASE NUMBER: 25CV-0208460

This matter is on calendar for review regarding status of service and responsive pleading. Defendant filed an Automatic Extension on May 13, 2026. The matter is continued to **Monday, July 27, 2026 at 9:00 a.m. in Department 63** for status of responsive pleading. If a responsive pleading is not on file by the next court date, Plaintiff is ordered to file a status statement no less than five court days prior to the hearing. **No appearance is necessary on today's calendar.**

LAWHEED, ET AL. VS. FULK
CASE NUMBER: 24CV-0206140

This matter is on calendar for status of settlement or trial setting. Neither party filed a status statement. The Court notes that Plaintiffs' counsel has noticed a motion to consolidate actions for July 13, 2026. The matter is continued to **Monday, July 13, 2026 at 9:00 a.m. in Department 63** for status of settlement or trial setting. The parties are ordered to file status statements no less than five court days prior to the review hearing. **No appearance is necessary on today's calendar,**

PLANET HOME LENDING, LLC VS. BENNETT, ET AL.
CASE NUMBER: 25CV-0208082

This matter is on calendar for review regarding status of default judgment. The Court notes that Plaintiff filed a Request for Court Judgment and an Amended Declaration in Support of Application for Default Judgment, a proposed Judgment was not filed. The matter is continued to **Monday, August 17, 2026 at 9:00 a.m. in Department 63** for status of default judgment. **No appearance is necessary on today's calendar.**

STIMPEL-WIEBELHAUS ASSOCIATES, INC. VS. CALPORTLAND COMPANY
CASE NUMBER: 25CV-0209086

This matter is on calendar for review regarding status of arbitration. Plaintiff filed a status statement informing the Court that an arbitrator has been selected. The matter is continued to **Monday, September 21, 2026 at 9:00 a.m. in Department 63** for status of arbitration. The parties are ordered to file status statements no less than five court days prior to the review hearing. **No appearance is necessary on today's calendar.**

WINFREE VS. ESTATE OF RUSSELL J. SWARTZ, ET AL.
CASE NUMBER: 24CV-0205713

This matter is on calendar for a trial setting conference. The matter is at issue. The Court finds this matter to be exempt from plan designation and intends to set the matter for trial before the end of 2026. Both parties have posted jury fees. The parties are ordered to meet and confer prior to the hearing regarding proposed dates for trial. **An appearance is necessary on today's calendar.**

ZANDERS, ET AL. VS. FCA US, LLC, ET AL.
CASE NUMBER: 24CV-0206488

This matter is on calendar for a trial setting conference, however Plaintiff filed a status statement informing the Court that the parties have reached a settlement. The matter is continued to **Monday, August 24, 2026 at 9:00 a.m. in Department 63** for status of dismissal. If the matter is not dismissed by the next hearing date, the parties are ordered to file status statements at least five court days prior to the hearing. **No appearance is necessary on today's calendar.**